



THE REFORMS TILL NOW

► EPFO has worked on IT systems and undertaken steps such as storage upgrade, addressing high load on specific database server ports and performance tuning

► The amount for auto processing of advance claims hiked to ₹1 lakh; advances for housing, education, marriage enabled

► Removed the need to upload cheque leaf for claim filing

► Members with fully compliant e-KYC EPF

accounts can file Online Transfer Claims directly without the approval of the employer

► Centralised Pension Payments System fully implemented

► To streamline the process of seeding bank accounts with UAN, EPFO has removed the requirement of employer approval after bank verification

► Members can self-correct their details in UAN without the employer's approval



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is validated through Aadhaar.

The EPFO has also introduced the facility for generation and activation of UAN by an employee or a new employer using the Aadhaar Face Authentication Technology through the Umang mobile app. Also, the limit for auto claim settlement, which allows withdrawals without manual intervention, has been increased from ₹50,000 to ₹1 lakh for several purposes, including education, marriage and house purchase. The limit may soon be hiked further to ₹5 lakh. Over 99% of such claims are now filed in the auto mode and cleared in three days (See *The Reforms Till Now*).

The EPFO would ideally like to settle all claims in the auto mode but officials say manual approvals are still needed in some cases to curtail risk and chances of fraud. "For instance, if the KYC of a customer has been just changed, his withdrawal request must be checked

thoroughly to reduce any threat of fraud," says an official. But in cases where the KYC is accurate and not recent, and the UAN is validated, the EPFO would like to prefer auto settlement. "We want to move to a trust-based system where we have confidence in employers and subscribers. This will ensure ease of living, ease of doing business and cut down the redundant work of our officers," says a senior government official.

Kartik Narayan, CEO-Staffing, TeamLease Services, says the impact of these measures has been positive for employees. "Auto-claim settlement enhancement, simplified transfers, online profile updates will ease the burden on employees," he says, adding that the Central Pension Payment system is another major change that will benefit the nominees. Earlier, this process was cumbersome and restricted to a few banks, he says, adding that the new system will help nominees get the money faster.